

Multiple Choice (10 marks)

1. Which of the following will cause the aggregate demand curve to shift to the left?
 - (a) Expectations of surpluses of goods in the future
 - (b) A decrease in income taxes
 - (c) An increase in government spending
 - (d) An increase in foreign income
2. Total spending
 - (a) is all of the spending done by all of the households in a nation.
 - (b) slopes downward because less spending occurs when prices rise.
 - (c) slopes downward because less spending occurs when income falls.
 - (d) slopes upward because more household spending occurs when income rises.
3. If Nation A can produce a good at lower opportunity cost than Nation B can produce the same good it is said that
 - (a) Nation A has comparative advantage in the production of that good.
 - (b) Nation B has comparative advantage in the production of that good.
 - (c) Nation A has absolute advantage in the production of that good.
 - (d) Nation B has absolute advantage in the production of that good.
4. Which of the following is most likely to produce stronger economic growth over time?
 - (a) More rapid consumption of natural resources.
 - (b) Higher adult illiteracy rates.
 - (c) A falling stock of capital goods.
 - (d) Investment tax credits.
5. Land, labor, capital and entrepreneurial talent are often referred to as
 - (a) production possibilities.
 - (b) goods and services.
 - (c) unlimited human wants.
 - (d) scarce economic resources.

True / False (10 marks)

Answer True or False

6. True or False: If money demand is nearly perfectly elastic, a central bank's expansionary policy may have limited effects on interest rates.
7. True or False: Marginal social cost equals marginal private cost plus marginal social benefits.
8. True or False: The Lorenz Curve measures the ratio of public goods to private goods across various nations.
9. True or False: Guaranteed low-interest loans for college students would likely slow a nation's economic growth by decreasing overall education funding.
10. True or False: The increase in production of SUVs does not contribute to wage differentials among workers.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how supply-side economists view the relationship between tax changes and their impact on aggregate supply and real GDP, providing reasons for their perspective.
12. Explain how to calculate the reserve ratio, excess reserves, and money multiplier for a bank with 1000 in checking deposits and a required reserve of 250. Discuss the implications of these concepts.

End of Paper